

DESERT BASIN SPECIALTY INSURANCE COMPANY

Construction & Energy Practice

2600 North Central Avenue, Suite 1700, Phoenix, AZ 85004 | NAIC No. 45880

Arizona Surplus Lines Broker Licence AZ-SL-99341

BUILDERS RISK / INSTALLATION POLICY**DECLARATIONS AND SCHEDULE****POLICY NUMBER:** BR-1147-30926**POLICY PERIOD:** From 07/01/2025 to 01/01/2027 (18 months) at 12:01 A.M. local time at the project site**FORM:** Completed Value - Single Project - Mission Critical Facility**BINDER REF:** DBS-CE-2025-0417**NAMED INSUREDS:**

Meridian Grid Holdings, LLC Project Owner

Ironbark Constructors, Inc. General Contractor

Ironbark Industrial Services, LLC Affiliate of General Contractor

All subcontractors of every tier, as their interests may appear, for project property only

FIRST NAMED INSURED MAILING ADDRESS:

Meridian Grid Holdings, LLC

4400 East Broadway Boulevard, Suite 800

Tucson, AZ 85711

GENERAL CONTRACTOR:

Ironbark Constructors, Inc.

7720 West Buckeye Road

Phoenix, AZ 85043

Arizona ROC Licence No. B-01 318774 | Risk Manager: Alina Petrosyan-Ward, (602) 555-0844

PRODUCER: Sonoran Ridge Risk Advisors, LLC

Producer Code AZ-8815

Broker Reference: SRR/BR/2025/1147

1 East Washington Street, Suite 1400, Phoenix, AZ 85004

Producer: Desmond Achterberg | (602) 555-0510 | dachterberg@sonoranridgerisk.example

PROJECT SCHEDULE**PROJECT NAME:** Cypress Landing Data Hall B**PROJECT ADDRESS:** 14900 South Cypress Landing Way

Mesa, AZ 85212 (Maricopa County)

Campus Building 2 of 4; adjacent to the operating Data Hall A, which is NOT insured under this policy.

SCOPE OF WORK: Design-build construction of a 96,000 sq ft single-story mission critical data hall and its supporting electrical and mechanical infrastructure, comprising:

- Structural steel frame on spread footings, insulated metal panel envelope, TPO roof
- Four (4) 2.5 MW medium-voltage switchgear line-ups and associated transformers
- Eight (8) 2,000 kW standby diesel generators with 48-hour belly fuel tanks
- Twelve (12) 500 kVA UPS modules with lithium-ion battery cabinets
- Chilled water plant: three (3) 800-ton air-cooled chillers, pumps and piping
- 34.5 kV utility interconnection, on-site substation pad and duct bank
- Raised floor, containment, busway and structured cabling

Owner-supplied long-lead equipment: switchgear, generators, UPS modules and chillers, purchased directly by Meridian Grid Holdings and consigned to the site.

CONTRACT: Design-Build Agreement (ConsensusDocs 410) dated 05/09/2025**CONTRACT SUM:** \$ 118,500,000 (including owner-supplied equipment of \$ 34,200,000)**NOTICE TO PROCEED:** 07/07/2025**SCHEDULED MECHANICAL COMPLETION:** 09/30/2026**SCHEDULED COMMISSIONING (IST Level 5):** 10/01/2026 - 11/15/2026**LIMITS OF INSURANCE**

LIMIT OF INSURANCE - PER OCCURRENCE, ALL COVERAGES COMBINED

\$ 118,500,000

SUBLIMITS (part of, and not in addition to, the Limit of Insurance):

Owner-Supplied Electrical Equipment at the Project Site	\$ 34,200,000
Property at the Manufacturer's or Fabricator's Premises (declared)	\$ 12,000,000
Declared fabricators: Sierra Vista Switchgear Corp. (Nogales, AZ); Cordilleran Generator Systems (Reno, NV); Tempe Modular Chiller Works	
Property in Transit - any one conveyance	\$ 6,000,000
Property in Transit - oversize / superload with escort	\$ 12,000,000
Off-Site Storage - any one declared location	\$ 8,000,000
Declared: Sunbelt Contract Storage, 2201 South Signal Butte Road, Mesa, AZ	
Off-Site Storage - undeclared	\$ 500,000
Temporary Structures, Scaffolding, Formwork and Site Facilities	\$ 2,000,000
Theft of Materials, Supplies and Equipment Awaiting Installation	\$ 1,500,000 per occurrence
Theft of Copper, Wire, Cable, Busway and Metal Products	\$ 500,000 per occurrence
Debris Removal	25% of loss, plus \$ 1,000,000
Ordinance or Law - A, B and C combined	\$ 5,000,000
Expediting Expenses (including air freight and premium time)	\$ 5,000,000
Extra Expense	\$ 2,500,000
Water Damage from Testing of Piping and Fire Protection Systems	\$ 5,000,000
Testing, Commissioning and Integrated Systems Testing (IST)	\$ 10,000,000
Damage arising from Energisation and First Load Bank Testing	\$ 10,000,000
Valuable Papers, Design Documents, BIM and Commissioning Scripts	\$ 1,000,000
Pollutant Cleanup and Removal (incl. diesel and dielectric fluid)	\$ 500,000 annual aggregate
Landscaping and Site Restoration	\$ 250,000
Claim Preparation and Forensic Accounting Fees	\$ 500,000
Mould and Fungus following a reported water event	\$ 100,000 annual aggregate

DELAY IN START-UP / SOFT COSTS: NOT PURCHASED. No coverage is provided under this policy for delay, soft costs, loss of revenue, liquidated damages or any consequential loss.

DEDUCTIBLES

All Other Perils	\$ 100,000 per occurrence
Windstorm, Hail and Haboob / Dust Storm Wind Event	\$ 250,000 per occurrence
Water Damage - rain, monsoon water intrusion, testing	\$ 250,000 per occurrence
Theft, Vandalism and Malicious Mischief	\$ 50,000 per occurrence
Electrical Equipment - damage during testing, energisation or commissioning (including LEG-type electrical breakdown)	\$ 500,000 per occurrence
Collapse During Erection / Rigging and Lifting	\$ 250,000 per occurrence
Property in Transit	\$ 50,000 per occurrence
Flood (NOT COVERED - shown for reference only)	N/A
Earth Movement (NOT COVERED)	N/A

COVERED CAUSES OF LOSS

All risks of direct physical loss of or damage to insured project property, except as excluded. Perils specifically contemplated for this project include: fire, lightning and lightning-induced surge; explosion and arc flash; windstorm, hail, microburst, haboob and blowing dust and sand; monsoon rain and water intrusion into an incomplete envelope; theft and burglary; vandalism and malicious mischief; vehicle and aircraft impact; dropped loads, crane failure, rigging failure and damage during setting of heavy equipment; collapse during erection; accidental discharge of water from temporary or permanent piping; smoke; sudden and accidental physical damage occurring during testing, energisation, load bank testing and integrated systems testing, as endorsed.

EXCLUSIONS

1. The cost of making good faulty or defective design, plan, specification, materials or workmanship. Resulting damage from a Covered Cause of Loss to other insured property is covered. (LEG 2/96, End. DBS-DEF 305.)
2. Loss to any equipment, component or system caused by its own electrical or mechanical breakdown, derangement, or failure to function, except where such breakdown results in fire, explosion or other physical damage to separate property, and except to the extent provided by the Testing, Commissioning and Energisation endorsement, subject to the \$ 500,000 deductible.
3. Damage arising from operation of the completed facility, or from any part of the facility placed into commercial service or beneficial use, without our prior written Partial Occupancy / Beneficial Use endorsement.
4. Delay in completion, loss of use, loss of revenue, business interruption, liquidated damages,

- penalties, and all consequential loss. (Delay in Start-Up coverage NOT purchased.)
5. Contractors' and subcontractors' tools, cranes, lifts, mobile and rolling equipment, vehicles and trailers not destined to become a permanent part of the project.
 6. Flood, surface water, mudflow, wash, arroyo overflow and water that backs up from a sewer or drain.
 7. Earth movement, earthquake, subsidence, expansive soils, collapsible soils, settlement and fissuring, including damage arising from the well-documented earth fissure hazard in the region.
 8. Wear and tear, deterioration, corrosion, oxidation, rust, insulation degradation, cavitation, and damage from dust or sand ingress that occurs gradually rather than from a discrete storm event.
 9. Mysterious disappearance, unexplained shortage and inventory shortage.
 10. Dishonest, fraudulent or criminal acts by any insured, employee, or subcontractor of any tier.
 11. Loss of or damage to Data Hall A, the campus substation feeder beyond the point of interconnection, and all other existing structures, equipment and improvements on the campus.
 12. Loss caused by or resulting from the failure to protect exposed openings, materials or equipment prior to a forecast monsoon, haboob or high-wind event, or failure to comply with the Site Protection Warranty.
 13. Loss to lithium-ion battery cells, modules or cabinets caused by internal thermal runaway, overcharging or manufacturing defect; ensuing fire damage to other insured property is covered (End. DBS-LI 530, Lithium-Ion Energy Storage Limitation).
 14. Cyber incident, malicious code, unauthorised access to control or building management systems, and loss of or corruption to electronic data (End. DBS-CYB 501); ensuing fire and explosion are written back.
 15. War, terrorism (unless TRIA elected), nuclear reaction and radioactive contamination.
 16. Any loss occurring after final acceptance, after issuance of the certificate of occupancy for the insured building, or after policy expiry, whichever occurs first.

FORMS AND ENDORSEMENTS ATTACHED

DBS-BR 100 (06-25) Builders Risk / Installation Coverage Form - Completed Value
 DBS-DEF 305 (06-25) Defects Exclusion - LEG 2/96 Consequences
 DBS-OSE 315 (06-25) Owner-Supplied Equipment and Consigned Property Extension
 DBS-FAB 318 (06-25) Property at Declared Fabricator and Manufacturer Premises
 DBS-TRAN 320 (06-25) Transit Extension including Oversize / Superload Movements
 DBS-STOR 325 (06-25) Off-Site Storage - Declared and Undeclared
 DBS-TEST 335 (06-25) Testing, Commissioning, Energisation and Integrated Systems Testing
 DBS-TEMP 340 (06-25) Temporary Structures and Site Facilities
 DBS-ORD 275 (06-25) Ordinance or Law
 DBS-LI 530 (03-25) Lithium-Ion Energy Storage Limitation
 DBS-CYB 501 (01-25) Cyber Incident Exclusion with Fire and Explosion Write-Back
 DBS-EQ/FL 545 (06-25) Earth Movement and Flood Exclusion - Absolute
 DBS-PROT 610 (06-25) Site Protection and Monsoon Preparedness Warranty
 DBS-LP 505 (06-25) Loss Payable Provisions
 DBS-SL AZ (05-25) Arizona Surplus Lines Notice
 DBS-TRIA 900 (01-21) Terrorism Risk Insurance Act - Coverage ACCEPTED, premium \$ 8,400

NOT PROVIDED: Flood, Earth Movement, Delay in Start-Up / Soft Costs, Contractors Equipment, Existing Structures (including Data Hall A).

SITE PROTECTION AND MONSOON PREPAREDNESS WARRANTY (DBS-PROT 610)

The Insureds warrant that, as a condition precedent to coverage:

- (a) The site is enclosed by a minimum eight-foot fence with anti-climb fabric and controlled access gates, monitored by a recorded camera system with 24/7 off-site monitoring, and patrolled by a licensed guard between 18:00 and 06:00 daily;
- (b) All electrical equipment delivered to site is stored energised with strip heaters, or in a conditioned enclosure, or with desiccant and humidity indicators inspected weekly and logged;
- (c) Switchgear, transformers, UPS modules and generator sets are not left in open storage; equipment awaiting installation is placed on the pad, sealed and space-heated within seven (7) days of delivery, or stored at the declared off-site facility;
- (d) A written Monsoon Preparedness Plan is maintained from June 15 to September 30 requiring, upon a National Weather Service severe thunderstorm, dust storm or flash flood watch: securing of loose materials and debris, closing and sealing of building openings, covering of equipment, removal of crane loads, and lowering of boom and mast equipment;
- (d) A hot work permit programme meeting NFPA 51B and jobsite fire prevention per NFPA 241 are enforced.

LOSS PAYEES AND ADDITIONAL INTERESTS

Loss Payee, first position:

Cactus Wren Infrastructure Credit Fund II, LP, as Collateral Agent
Credit Agreement dated 06/12/2025, 3200 East Camelback Road, Suite 500, Phoenix, AZ 85018

Additional Interest - Owner-Supplied Equipment:

Meridian Grid Holdings, LLC

Additional Interest - Utility Interconnection Assets:

Salt Valley Electric Cooperative (34.5 kV feeder and metering, to the point of interconnection only)

CLAIM CONDITIONS AND REPORTING REQUIREMENTS

1. IMMEDIATE NOTICE. Any occurrence likely to give rise to a claim must be reported within twenty-four (24) hours of discovery, and in any event before any damaged equipment is moved, dismantled, cleaned or repaired. Notification to:
Desert Basin Specialty - Construction Claims
report@desertbasinspecialty.example | (844) 555-0902 (24 hour)
Complex Loss Manager: R. Villanueva-Osei
2. EQUIPMENT PRESERVATION. Following any electrical event, the Insureds must preserve relay targets, event recorder data, protective device settings, oil and gas samples, thermographic records and all commissioning scripts and test records, and must not energise or re-energise affected equipment without our consent, except where necessary for life safety.
3. LAW ENFORCEMENT. Theft and vandalism must be reported to the Mesa Police Department within twenty-four (24) hours; the incident number must be provided.
4. MITIGATION. Reasonable emergency mitigation up to \$ 100,000 may be incurred without prior approval, including temporary weather protection, dehumidification of electrical rooms and equipment, de-energisation, and security augmentation.
5. PROOF OF LOSS within ninety (90) days of our written request. Partial payments will be advanced on account where liability is not in dispute.
6. SUIT LIMITATION. Two (2) years from the date of loss.
7. SCHEDULE EXTENSION. Requests must be submitted at least forty-five (45) days before the expiry date.
8. PREMIUM. \$ 662,000 for the 18 month term, plus Arizona surplus lines tax and stamping fee.
Minimum earned premium: 35%.

Signed at Phoenix, Arizona, June 24, 2025.

Authorised Signatory

Construction & Energy Practice Leader